

MAINS MASTER PROGRAM (MMP) 2024

ECONOMY-9; GOVERNMENT BUDGETING AND RELATED ISSUES

1. TABLE OF CONTENTS

1. <i>Table of Contents</i>	0	3) Budget.....	2
2. <i>Government Budgeting and Related Issues</i> 1		4) Types of Budgets.....	3
1) PYQ's	1	5) Fiscal Consolidation	6
2) Fiscal Policy.....	1	6) Fiscal Responsibility and Budget Management Act (FRBM) Act, 2003	8

2. GOVERNMENT BUDGETING AND RELATED ISSUES

1) PYQ'S

Q.1) What are the reasons for introduction of Fiscal Responsibility and Budget management (FRBM) Act, 2003? Discuss critically its salient features and their effectiveness (2013)

Q.2) Women empowerment in India needs Gender Budgeting. What are the requirements and status of gender budgeting in the Indian Context? (2016)

Q.3) One of the intended objectives of Union Budget 2017-18 is to 'transform, energize and clean India'. Analyse the measures proposed in the Budget 2017-18 to achieve the objective. (2017)

Q.4) The public expenditure management is a challenge to the government of India in the context of budget making during the post liberalisation period. Clarify it (2019)

Q.5) Distinguish between Capital Budget and Revenue Budget. Explain the composition of both these budgets. (2021)

2) FISCAL POLICY

1. Fiscal policy deals with the taxation and expenditure decisions of the government to achieve certain macroeconomic goals. (Monetary policy deals with the supply of money in the economy and the rate of interest.)
2. Changes in the level and composition of taxation and government spending can affect several macroeconomic variables such as - a) Aggregate demand and the level of economic activity; b) Savings and investment in the economy; c) Income distribution; d) employment e) inflation etc
3. The government deals with fiscal policy while the central bank is responsible for monetary policy
4. Fiscal policy is composed of several parts. These include, tax policy, expenditure policy, investment or disinvestment strategies and debt or surplus management.
5. It deals with both quantity and quality of public finance.
6. Fiscal policy is an important constituent of the overall economic framework of a country and is therefore intimately linked with its general economic policy strategy.

Main Objectives of Fiscal Policy in India

1. Resource Mobilization:
 - a. Promoting public savings in financial assets as well as encouraging saving for the long term (income tax benefits for fixed deposits, small saving instruments, pension and provident funds, and insurance)

- b. Taxation - Direct & Indirect
2. Efficient allocation of financial resources:
 - a. encourage production of desirable goods and discourage those goods which are socially undesirable. (promotion of EV's; high indirect tax on cigarettes)
 - b. Progressive Taxation
 - c. Public expenditure on poverty alleviation, employment generation, health service, education, welfare schemes etc
 - d. Infrastructure Development
3. Balanced Regional Development:
 - a. Fiscal tools like tax concession, tax holiday, subsidies, concessions in infrastructure utilization etc., can be given to private investors to attract private investment in the backward geographical areas as part of the strategies for balanced growth.
4. Development of Private Sector:
 - a. Tax relief, rebates, subsidies may be granted to boost up the productive activity in the private sector.
5. Price Stability
 - a. When inflation is increasing, government may increase taxation rates and reduce public expenditure
6. Employment Generation
 - a. Public expenditure on infrastructure development; skill development; manufacturing sector etc
7. Promoting favourable Balance of Payments
 - a. Promoting exports through various policies
 - b. Discouraging non essential imports

Role of Fiscal Policy in Economic Development

1. Price Stability
2. Resource Mobilisation - a) promoting private savings b) Progressive Taxation c) recent windfall tax
3. Promoting capital formation - a) inducement to private investment (reducing corporate Tax rates, assistance to new industries) b) Liberalisation of FDI policies c) Incentivizing manufacturing production
4. Economic Stability - minimize cyclical fluctuations

3) BUDGET

- document containing government receipt and expenditure for a given financial year
- It is a main tool used by government to implement its fiscal policy

- It shows information regarding - a) Budget Estimates (BE) for upcoming year; b) Budget Estimate (BE) and Revised Estimate (RE) for current year; c) Actuals for the previous year.
- Fiscal Policy Statements mandated under FRBM Act
 - Along with the budget, three policy statements are mandated by the Fiscal Responsibility and Budget Management Act, 2003 (FRBMA).
 - The Macroeconomic Framework Statement
 - The Medium-term Fiscal Policy Statement
 - The Fiscal Policy Strategy Statement
- **Components of Government Budget**
 - As per Art 112 -- Annual Financial Statement must distinguish between expenditure on revenue account and other expenditure.
 - Thus, Government Budget = Revenue Budget + Capital Budget
- **Revenue Budget**
 - Revenue Budget = Revenue Receipt + Revenue Expenditure
 - Revenue Receipt – Tax Revenue; Non Tax Revenue (interest receipts on account of loans by the central government; Dividends and profits on the investment made by the government; user charges, fees and other receipts for services rendered by the government, Grants-in-aid and contribution from foreign countries and international organization)
 - Revenue Expenditure - Interest payments on loans; subsidy (food, fertilizer, petroleum); Salaries & pensions, defence services; Public administration etc
- **Capital Budget**
 - Capital Budget = Capital Receipt + Capital Expenditure
 - Capital Receipt - loans raised by government from public; borrowings from RBI; loans from foreign government and multilateral bodies; recoveries of loans and advances from state, UT's; Disinvestment receipts
 - Capital Expenditure - expenditure on the acquisition of land, building, machinery, equipment; investment in shares; loans and advances by the central government to state and union territory governments, PSUs and other parties.

4) TYPES OF BUDGETS

1. Line Item Budget
 - a. Individual financial statement items are grouped by category (cost centres or department); shows the comparison between the financial data for the past accounting or budgeting periods and estimated figures for the current or a future period; expenditures for the budgeted period are listed according to objects of expenditure, or "line-items."
 - b. Prominent feature -- specifies ceiling in the budget allocation to ensure that agencies/units do not spend in excess of their prescribed limit. A central authority or the Ministry of Finance keeps a watch on the spending of various units to ensure that the ceilings are not violated.

- c. Merits -- a) easy to understand and implement; b) facilitates tight fiscal control over public spending through the detailed specification of inputs; c) facilitates centralized control and fixing of authority and responsibility of the spending units
- d. Demerits – a) focus on what is spent and says nothing on efficiency or effectiveness of expenditure; b) inputs not tied to performance; c) does not provide enough information to the top levels about the activities and achievements of individual units.

2. Performance Budget

- a. Provides for goals/objectives to be achieved, strategy to be adopted and requisite allocations to be made; links inputs to outputs (but fall short of outcomes)
- b. Government of India first introduced Performance Budgeting in 1969 to focus on what is done with the money, for example what is delivered (outputs) and to whom alongside the traditional focus on bookkeeping and accounting
- c. Merits -- financial outlays linked to outputs which provides for accountability of department; improving transparency
- d. Demerits -- difficult to accurately estimate the benefits arising out of each activity (difficult to quantify social benefits); focuses on quantitative evaluation rather than qualitative evaluation.

3. Outcome Budget

- a. Focus on outcome/impact/end results of specific outputs provided by budgetary outlays; expenditure → output → outcome;
- b. Since 2005-06, Outcome Budgets have become an integral part of the budget making process in India.
- c. Merits → focus on economy, efficiency and effectiveness; improves accountability; helps in identifying linkages between funds allocated and proposed outcomes
- d. Demerits → cost increase (exercise involving analyzing funds allocated to outcomes)

4. Zero Based Budgeting

- a. every year budget is prepared from scratch or zero base; not based on incremental changes in allocation of previous budget; in zero-based Budget, no balances are carried forward, or there are no pre-committed expenses.
- b. Merits → It eliminates redundant activities/duplication; It identifies low and high priority activities for resource deployment; justifies budget requests on cost-benefit and cost-effectiveness basis; It allocates scarce resources rationally
- c. Demerits → Time consuming; involves huge efforts; resistance from individuals for new changes in organization

5. Gender Based Budgeting

- a. Gender Budgeting is concerned with gender-sensitive formulation of policies, allocation of resources; implementation and execution; monitoring, review, audit and impact assessment
- b. Gender Budgeting is concerned with gender sensitive formulation of legislation, policies, plans, programmes and schemes; allocation and collection of resources; implementation and

execution; monitoring, review, audit and impact assessment of programmes and schemes; and follow-up corrective action to address gender disparities.

- c. Gender Budgeting enables
 - i. achieving gender equality and reduce vulnerabilities of women and girls
 - ii. reducing gender disparities (eg – Improving Financial Inclusion)
 - iii. monitoring of achievement of policies from lens of gender

Budgetary Reforms in recent times

The government has undertaken several budgetary reform in the recent times



1. Advancement of Budget cycle
 - a. Budget to be presented on 1st Feb each year
 - b. would pave the way for early completion of Budget cycle and enable Ministries and Departments to ensure better planning and execution of schemes from the beginning of the financial year.
 - c. allows the government to fully start its planned schemes, projects and activities from the first day of the new financial year itself. It would lead to utilization of the full working seasons including the first quarter.
 - d. This would synchronize the transfer of funds to states with their own state budgets
 - e. No need for Vote on Account
2. Merger of Plan and Non Plan Distinction
 - a. Since the 1950s, Budgetary allocations were categorised as Plan and Non-Plan; Plan denoting the allocations on programmes and schemes and Non-Plan referred to mostly establishment items. Such distinction, at times, led to a distortion in the perception of these two types of

allocations. Plan was considered, by many, superior and hence preferable. It was often referred to as Developmental expenditure. Non-plan similarly, often, less preferred and termed Non developmental. Such distinctions and perceptions were wrongly placed. Non-plan expenditure such as maintenance of Defence system, Social security related allocation (pension and insurance), subsidy for poor and underprivileged class, etc. cannot be termed as non-developmental or bad. Such perception could also distort the sectoral allocation of resources.

- b. While the allocations for Non Plan expenditure were made by Ministry of Finance, the allocations for Plan expenditure were done by erstwhile Planning Commission. Though both sets of bodies, worked with a common objective in mind, this fragmented method of allocation made synchronization difficult.
 - c. The Plan/Non-Plan bifurcation of expenditure has led to a fragmented view of resource allocation to various schemes, making it difficult not only to ascertain cost of delivering a service but also to link outlays to outcomes.
 - d. The bias in favour of Plan expenditure by Centre as well as the State Governments has led to a neglect of essential expenditures on maintenance of assets and other establishment related expenditures for providing essential social services.
 - e. The system is based on past commitments and requirements and residual resources allocated to Plan budget. This has resulted in reduced flexibility in allocation within the Plan budget
3. Merger of Rail Budget with General Budget
- a. Colonial practice. Needed change with changing times.
 - b. to bring the affairs of the Railways to centre stage and present a holistic picture of the financial position of the Government.
 - c. To reduce the procedural requirements of having two separate budgets and instead bring into focus, the aspects of delivery and good governance.
 - d. It would facilitate multi modal transport planning between railways, highways and inland waterways
 - e. A formal and public presentation of railway budget, at times, shifted the focus on introduction of new trains and new projects (Political Populism)
 - f. It will save the annual dividend liability of railways which runs to about Rs. 10,000 crores.

5) FISCAL CONSOLIDATION

Introduction

- policies undertaken by Governments to reduce their deficits and accumulation of debt stock; and to improve fiscal health of government
- It entails revenue augmentation (e.g. better tax realization) and expenditure rationalization.
- Golden Rule of fiscal policy:

- It states that over the economic cycle, the Government will borrow only to invest and not to fund current spending.
- The justification for the Golden Rule derives from macroeconomic theory. Other things being equal, an increase in government borrowing raises the real interest rate consequently crowding out (reducing) investment because a higher rate of return is required for investment to be profitable. Unless the government uses the borrowed funds to invest in projects with a similar rate of return to private investment, capital accumulation falls, with negative consequences upon economic growth
- Also, government should maintain a sustainable debt structure in the long run as rise in debt levels increase debt servicing costs also, which worsens fiscal position.
- Fiscal consolidation or the fiscal plan for the central government in India is articulated in terms of the budgetary aims (different deficits) to be achieved in subsequent budgets. India's fiscal consolidation aims are set out in the Fiscal Responsibility and Budget Management (FRBM) Act, 2003.

Why is reducing government deficits important?

- higher borrowing (more interest payment) curtails productive expenditure. For example depleted resources for welfare and development. Diversion of government resources to revenue expenditure from capital expenditure.
- Increasing interest liabilities puts burden on future generation (intergenerational parity at risk)
- It may lead to crowding out of private sector in debt market
- High deficit may lead to downgraded sovereign rating which can adversely impact foreign inflows
- Too much of government debt can lead to inflation and reduction in real interest rates. It might prompt people to invest more in gold and real estate, thereby accentuating the problem of poor economic liquidity and black money.
- Article 292 of the Constitution envisages fiscal responsibility in the form of legislation that obliges the government to have a ceiling on debt.

Augmentation of Government Revenues

1. Increasing Tax to GDP ratio
 - a. Why low - a) Narrow tax base due to income inequalities b) various tax exemptions to wealthy c) Informal economy so low tax compliance d) Low property and professional tax rates e) no tax on agricultural income.
 - b. Broadening of Tax base through digitalisation (GST)
 - c. Honouring the honest
 - d. Better compliance through easy tax administration (Presumptive taxation system.)
 - e. Stiff penalty for evasion (Punishing the Perpetrators)
 - f. Tackling black money through increased vigilance
 - g. Increasing Tax Buoyancy through reforms in direct and indirect taxes and in tax administration
2. Increasing Non Tax Revenue
 - a. Improving Disinvestment receipts
3. Tap New Sources of Revenue

- a. Monetisation of govt assets

Rationalisation of Expenditure

1. Rationalisation of Subsidies (subsidies to be pruned, reoriented, well targeted and well directed)
2. Direct Benefit Transfer for welfare scheme

6) FISCAL RESPONSIBILITY AND BUDGET MANAGEMENT ACT (FRBM) ACT, 2003

- **Objectives** → to ensure intergenerational equity in fiscal management; long term macro-economic stability; effective debt management by limiting deficits and borrowing;
- **Salient Features** →
 - Reduction of Fiscal deficits to 3% and complete elimination of Revenue deficit by FY 2008-09 (FRBM Act has been periodically amended to revise these targets)
 - The Central Government shall not borrow from the Reserve Bank except by way of advances to meet temporary excess of cash disbursement over cash receipts (makes monetary policy independent of fiscal policy); RBI cannot print money to lend to govt
 - Mandate government to lay before the parliament three policy statements in each financial year → Medium Term Fiscal Policy Statement; Fiscal Policy Strategy Statement and Macroeconomic Framework Policy Statement.

Critical Analysis

- **Pros:**
 - Clear Fiscal Rules are helpful in disciplining centre and states in terms of public debt.
 - It can at least help encourage a spirited discussion in Parliament on the consequences of departing from the rules and could have an impact on public opinion and market expectations
 - It tries to keep Fiscal Deficit at sustainable level (high fiscal deficit was a contributor to the BoP crisis in 1991)
 - Prohibits borrowing by the government from RBI, making monetary policy independent of fiscal policy
- **Cons**
 - It puts excessive rigidity into the decision making depriving govt of the flexibility needed to respond to the exigencies in an appropriate manner, to best serve the national interest (eg - during covid times, govt spending increased to promote demand and spur economic growth)
 - Deadline for meeting the deficit targets has been extended several times by the government

FRBM Review Committee (N K Singh Committee) 2017

- The Committee suggested using debt as the primary target for fiscal policy
- General government debt of 60% of GDP, (40% for centre & 20% for states) to be achieved by no later than FY2022-23.
- Progressively reduce Fiscal Deficit and Revenue deficit to 2.5% & 0.8% by FY 2022-23
- The Committee proposed to create an autonomous Fiscal Council for following activities
 - (i) preparing multi-year fiscal forecasts, (ii) recommending changes to the fiscal strategy, (iii) improving quality of fiscal data, (iv) advising the government if conditions exist to deviate from the fiscal target, and (v) advising the government to take corrective action for non-compliance with the Bill
- Escape Clause → The deviation of not more than 0.5% of Fiscal deficit is allowed from the targets on the advice of fiscal Council in case of → (i) considerations of national security, war, national calamities and collapse of agriculture affecting output and incomes, (ii) structural reforms in the economy resulting in fiscal implications, or (iii) decline in real output growth of at least 3% below the average of the previous four quarters.